

Question #1 of 42

Question ID: 1586705

The following scenarios refer to two analysts who are employed at Global Securities, a large brokerage firm.

- Paula Linstrom, CFA, is instructed by her supervisor to write a research report on Delta Enterprises. Delta's stock is widely held by institutional and individual investors. Although Linstrom does not own any of Delta's stocks, she believes that one of her friends may own 10 shares of Delta. The stock currently sells for \$25 per share. Linstrom does not believe that informing her employer about her friend's possible ownership of Delta shares is necessary.
- Hershel Wadel, a member of CFA Institute, is asked by his supervisor to write a research report on Gamma Company. Wadel's wife inherited 500 shares of Gamma Company from her father when he died five years ago. Gamma stock currently sells for \$35 per share. Wadel does not believe that informing his employer about his wife's ownership of Gamma shares is necessary.

According to CFA Institute Standards of Professional Conduct, which of the following statements about Linstrom and Wadel's conduct is *most* accurate?

- A)** Only one of these analysts must disclose a potential conflict of interest.
 - B)** Both of these analysts must disclose a potential conflict of interest.
 - C)** Neither of these analysts must disclose a potential conflict of interest.
-

Question #2 of 42

Question ID: 1586712

A firm produces regular proprietary research reports on various companies. According to Standard VI(B), Priority of Transactions, which of the following would be an "access person"?

- A)** An independent auditor with access to material, non-public information on a company being analyzed.
 - B)** A person working in the mail room.
 - C)** A supervisory analyst who reviews all research reports prior to dissemination.
-

Question #3 of 42

Question ID: 1586678

Futura Investments Co. decides to diversify its current portfolio with stocks from three companies in a new segment of the biotechnology industry. William Burgin, CFA, is an analyst at Futura and had previously bought shares of the same three companies for his own portfolio, well before his employer started researching them. Burgin has already disclosed the composition of his personal portfolio to Futura Investments, to be in compliance with the Code & the Standards. Which of the following actions should Burgin take?

- A)** Diversify his personal portfolio so, in this way, these stocks will no longer represent a substantial portion of the portfolio.
 - B)** Hire a full discretionary power or blind trust manager for his portfolio.
 - C)** Open an account that will be managed by someone else but will allow him to maintain his investment preferences.
-

Question #4 of 42

Question ID: 1586699

Arthur Harrow, CFA, is a pharmaceuticals analyst at Dominion Asset Management. His supervisor directs him to prepare separate research reports on Miracle Drug Company and Wonder Drug Company. Harrow serves on the board of Miracle and owns shares of Wonder. According to the Standards of Professional Conduct, which of the following actions is Harrow required to take when he writes the research reports?

- A)** Harrow must disclose both his relationship with Miracle and his ownership of shares in Wonder.
 - B)** Harrow must disclose his relationship with Miracle but not his ownership of shares in Wonder.
 - C)** Harrow must disclose his ownership of shares in Wonder but not his relationship with Miracle.
-

Question #5 of 42

Question ID: 1586702

A CFA Institute member makes a recommendation of a stock in which his firm has a material ownership, but neglects to inform clients of that ownership. The candidate has most clearly violated:

- A)** Standard III(B) - Fair Dealing.
 - B)** Standard VI(A) - Disclosure of Conflicts.
 - C)** Standard V(B) - Communication with Clients and Prospective Clients.
-

Question #6 of 42

Question ID: 1586695

Abner Flome, CFA, is writing a research report on Paulsen Group, an investment advisory firm. Flome's brother-in-law holds shares of Paulsen stock. Flome has recently interviewed for a position with Paulsen and expects a second interview. According to the Standards, Flome's *most appropriate* action is to disclose in the research report:

- A)** that he is being considered for a job at Paulsen.
 - B)** his brother-in-law's holding of Paulsen stock.
 - C)** his brother-in-law's holding of Paulsen stock and that he is being considered for a job at Paulsen.
-

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Question ID: 1586715

Wes Smith, CFA, refers many of his clients to Bill Towers, CPA, for accounting services. In return, Towers performs routine services for Smith, such as his tax returns, for no charge. Towers has just become a member of CFA Institute. With this development, Towers must:

- A)** discontinue his services for Smith.
 - B)** only reveal to the prospects referred by Smith that he performs services for Smith.
 - C)** reveal to the prospects referred by Smith that he performs services for Smith, along with the estimated value of those services.
-

Question #8 of 42

Question ID: 1586696

The following scenarios involve two analysts at Dupree Asset Management, a small New York-based company with about \$150 million in assets under management. Dupree restricts personal trading of stocks analyzed, corporate directorships, trustee positions, and other special relationships that could reasonably be considered a conflict of interest with their responsibilities to their employer.

- Ray Bolt, CFA, is a senior investment analyst. Bolt was recently elected to the board of trustees of his alma mater, Midwest University, and was appointed as the chairman of the University's endowment committee. Midwest has more than \$2 billion in its endowment. Bolt must travel from New York to Chicago eight times a year to attend meetings of the board of trustees and endowment committee. Bolt did not inform Dupree of his involvement with Midwest University.
- Wanda Delvecco, a candidate in the CFA Program, is a junior investment analyst. She recently wrote a research report on Aveco Communications and recommended the stock for Dupree's "buy" list. Delvecco bought 200 shares of Aveco stock for her personal account 12 months before she wrote her research report. Over the past 12 months, the stock's price has been in the \$20-42 price range. Delvecco has not informed Dupree of her ownership of Aveco stock.

According to CFA Institute Standards of Professional Conduct, which of the following statements about Bolt and Delvecco's actions is CORRECT?

- A)** Delvecco violated the Standards, but Bolt did not.
- B)** Both Bolt and Delvecco violated the Standards.
- C)** Neither Bolt nor Delvecco violated the Standards.

Joan Platt, CFA, operates an investment firm in New York, but maintains an office in Xania. Platt's firm invests on its clients' behalf in both domestic and international stocks and bonds. Platt's employees include two analysts, Paula Linstrom, CFA, and Hershel Wadel, a member of the CFA Institute. Both analysts report to Platt directly. Thorvald Knudsen, CFA, manages the international bond portfolio.

Xania recently established a stock market, which is not very efficient. None of the Xanian stocks trade in the U.S. market. Xania legally permits the use of material inside information. Platt believes that using inside information would help her compete against other Xanian investment advisers, and also help some of her Xanian clients reach their investment objectives.

Platt instructs Wadel to write a research report on Gamma Company. Wadel's wife inherited 500 shares of Gamma Company from her father when he died five years ago. Gamma stock

currently sells for \$35 a share. Wadel does not believe that informing Platt about his wife's inheritance is necessary.

Doris Black, one of Wadel's long-time clients, verbally promised Wadel that he could use her vacation home in Aspen, Colo., for a week during skiing season if the return on her portfolio exceeded its benchmark by two percentage points during the next year. Black also promised to reimburse Wadel for his travel expenses. Because Wadel is the sole manager of Black's portfolio, he says nothing to Platt about his arrangement with Black.

Platt instructs Linstrom to write a research report on Delta Enterprises. Delta's stock is widely held by institutional and individual investors. Linstrom does not own any Delta shares, though one of her friends owns 100 shares of Delta. Linstrom does not believe that informing Platt about her friend's ownership of Delta shares is necessary.

Platt suspects that one of the firm's unpaid interns has violated a federal securities regulation.

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Question ID: 1586686

Regarding their research reports, which of the following statements about Linstrom and Wadel's conduct is *CORRECT*?

- A)** Both Linstrom and Wadel violated Standard VI(A)—Disclosure of Conflicts.
 - B)** Wadel violated Standard VI(A)—Disclosure of Conflicts, and Linstrom did not violate Standard VI(A).
 - C)** Wadel did not violate Standard VI(A)—Disclosure of Conflicts, and Linstrom did violate Standard VI(A).
-

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Question ID: 1586687

What is the obligation, if any, to disclose Wadel's arrangement with Black?

- A)** Wadel must disclose the arrangement to Platt but is not required to disclose the arrangement to his other clients.
- B)** Wadel need not disclose anything to his clients or to Platt because he is violating no fiduciary duty.
- C)** Wadel must disclose the arrangements to his clients and to Platt only if he believes it will create a conflict with his responsibilities to other clients.

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Question ID: 1586688

According to the Standards, how must Platt deal with the intern's alleged illegal activity?

- A)** Initiate an investigation and place limits on the intern's activities pending the outcome.
 - B)** Report the intern's behavior to the appropriate regulatory authority.
 - C)** Tell the intern to stop the conduct.
-

Question #12 - 12 of 42

Question ID: 1586689

Platt is renouncing her U.S. citizenship and becoming a citizen of Xania. According to the Standards, if Platt renounces her U.S. citizenship, she may then:

- A)** use material inside information when trading in Xania only if the information does not relate to a tender offer.
 - B)** not use material inside information when trading in Xania.
 - C)** not use material inside information unless trading Xanian stocks exclusively.
-

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Question ID: 1586706

An analyst likes to trade commodity futures in her own account. She does not deem any of her client accounts suitable for commodity futures trading. When she identifies a favorable commodity futures position, the Standard concerning priority of transactions suggests she should:

- A)** refrain from acting until she notifies her supervisor.
 - B)** first tell her clients about it before acting herself.
 - C)** act on it on her own behalf as she sees fit.
-

Question #14 of 42

Question ID: 1586704

Will Lambert, CFA, is a financial analyst for Offshore Investments. He is preparing a purchase recommendation on Burch Corporation for internal use. According to the CFA Institute Standards of Professional Conduct, which of the following statements about disclosure of conflicts is not required? Lambert would NOT need to disclose to his employer that:

- A)** his wife owns 2,000 shares of Burch Corporation.
 - B)** Offshore is an OTC market maker for Burch Corporation's stock.
 - C)** he is a beneficiary of a pension plan of his former employer that owns a large number of shares of Burch's stock.
-

Question #15 of 42

Question ID: 1586677

Steve Copper has worked as an independent consultant for the past ten years advising companies on various ways to increase their internal efficiency and thereby increase the firm's stock price as well. Copper recently accepted a job offer from an equity research firm as a senior stock analyst. One of the firms he will be responsible for researching, Johnson Machine Tools (JMT), is also one of his consulting clients. Copper currently has a contract with JMT to provide consulting services for another six months which he plans to honor even though there are no penalties in the contract for early termination on his part. According to *CFA Institute Standards of Professional Conduct*, which of the following is the *most appropriate* action for Copper to take? Copper should:

- A)** terminate the contract with JMT prior to issuing any research on the company.
 - B)** disclose the consulting arrangement to clients considering JMT as an investment.
 - C)** disclose the arrangement only if he plans to renew the contract in six months.
-

Michael Pennington Case Scenario

Michael Pennington is Senior Vice President of equity investments at Alpha Investment Advisors, Inc. (AIA). He manages a team of analysts and portfolio managers and is responsible for maintaining and developing client relationships. AIA is located in Belgium and provides investment management services to high net worth individuals. Pennington is also a Level III Candidate in the CFA Program.

One of Pennington's clients is the Flanders family. Pennington had a long relationship with Helmut Flanders. Before Flanders's untimely death, he gave Pennington full discretion over

his portfolio based on an investment policy statement that had been refined continuously over the years.

- Flanders was the president of a publicly traded manufacturing company, Allux, and 20% of his portfolio's assets were invested in Allux equity. His contract with Allux prohibited selling his Allux shares while he was employed.
- Flanders had little liquidity needs. His children were grown, and his salary at Allux was sufficient to cover his annual expenditures as well as contribute to his investment portfolio.
- A former accountant, Flanders had been extremely knowledgeable and comfortable with the investment decision-making process.
- Pennington owns 10,000 shares of Allux and serves on Allux's board and is part of the board's audit committee. Pennington came to know about some aggressive accounting choices made by Allux's CFO.
- Pennington played golf with Flanders on a regular basis and, with Flanders's help, developed many client relationships from these outings.

AIA has an agreement with a local brokerage firm, First Brokerage, owned by Pennington's sister to place all AIA trades through First Brokerage.

- Flanders agreed in writing that all trades in his portfolio would be directed to First Brokerage.
- Pennington purchased new carpets for his office with soft dollars. He believes that his managers make better investment decisions when their environment is pleasant and comfortable.
- Pennington attended an industry conference in the Bahamas with soft dollars. The program is devoted to improving management of the investment advisory firm. He believes that a well-run firm makes better investment decisions.
- Pennington consistently uses soft dollars to purchase research reports from an independent research firm that does in-depth analysis of a company's financial reporting. Several of his managers have commented on the quality and usefulness of these reports to their analysis and decision making.
- After Flander's death, Pennington decided to sell all of his and his clients' holding of Allux shares.

Pennington has an appointment to meet with Flanders's widow, Elise, who, as an artist, left management of their financial assets to her husband. She is meeting with Pennington to better understand her financial position.

Which of the following Standards is *most* relevant regarding Pennington's meeting with Elise?

- A)** Standard III(A), Loyalty, Prudence, and Care.
 - B)** Standard III(C), Suitability.
 - C)** Standard III(E), Preservation of Confidentiality.
-

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Question ID: 1586674

Standard VI(A), Disclosures of Conflicts, requires Pennington to disclose all matters, including beneficial ownership of securities of other investments, that could be expected to impair the member's ability to make unbiased and objective recommendations. Which of the following matters would *least likely* be disclosed to Elise?

- A)** AIA has a soft dollar arrangement with a brokerage firm owned by Pennington's sister.
 - B)** Pennington owns shares in Allux.
 - C)** Pennington played golf with Helmut Flanders on a regular basis and developed client relationships from those golf outings.
-

Question #18 - 19 of 42

Question ID: 1586675

Which of the following *best* describes Pennington's compliance with the CFA Institute Standards regarding his use of soft dollars? The purchase of:

- A)** both research reports and carpeting are allowable uses of soft dollars.
 - B)** research reports and attending the conference are allowable uses of soft dollars.
 - C)** research reports is an allowable use of soft dollars.
-

Question #19 - 19 of 42

Question ID: 1586676

What additional Standard is specifically applicable to Pennington's decision to sell his and his clients' shares of Allux?

- A)** Standard II, Integrity of Capital Markets.
 - B)** Standard IV, Duties to Employers.
 - C)** Standard VII, Responsibilities as a CFA Institute Member or CFA Candidate.
-

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Question ID: 1586711

Standard VI(B), Priority of Transactions, applies to transactions an analyst takes on behalf of:

- A)** his clients.
 - B)** both of these.
 - C)** his employer.
-

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Question ID: 1586709

An analyst, who is a CFA Institute member, manages a high-grade bond mutual fund. This is his only professional responsibility. When the analyst comes across a speculative stock investment that he feels is a good investment for his personal portfolio, the analyst:

- A)** may invest in the stock because the analyst would not purchase the stock for the bond portfolio he manages.
 - B)** must notify his supervisor about the stock according to Standard VI(B), Priority of Transactions, to see if it is appropriate for the portfolio that he manages.
 - C)** is in violation of Standard IV(A), Loyalty to Employer, by spending time analyzing stocks when he should only analyze bonds.
-

Question #22 of 42

Question ID: 1586710

An analyst has the opportunity to offer his clients shares in a "hot new issue." One of the analyst's clients is his brother. When the new issue comes out, for those clients he deems it would be appropriate, he offers them an equal share. He includes his brother in that group. With respect to Standard VI(B), Priority of Transactions, this is:

- A)** congruent with the Standard if his brother is not a 'covered person'.

- B) congruent with the Standard even if he has a direct personal interest in his brother's account.
 - C) congruent with the Standard as long as he does not have a direct personal interest in his brother's account.
-

Question #23 of 42

Question ID: 1586697

Phil Trobb, CFA, is preparing a purchase recommendation on Aneas Lumber for his research firm. Which of the following *least likely* represents a conflict of interest that Trobb should disclose in his report?

- A) Trobb's research firm has a large stake of ownership in Aneas.
 - B) Trobb's cousin repairs machines for Aneas.
 - C) Aneas hires Trobb as a consultant to analyze Aneas' financial statements.
-

Question #24 of 42

Question ID: 1586708

Gordon McKinney, CFA, works in the trust department of a bank. The bank's trust account holds a large block of a particular company. McKinney learns from a market news service that this company is going to buy back one million shares at a 15% premium to the market price on a first-come-first-served basis. McKinney immediately tells his mother-in-law to tender her shares but waits until the end of the day to tender the trust's shares. McKinney has *most likely* violated the Standard concerning:

- A) material nonpublic information.
 - B) priority of transactions.
 - C) loyalty.
-

Hunter Harrison, CFA, has recently been promoted to Chief Investment Officer (CIO) of Ironclad Investments, an investment adviser and pension consultant for medium and large corporate pension clients. Ironclad recently hired a compliance officer to update its compliance manual, which is consistent with the CFA Institute Code and Standards. Harrison serves as a director on several non-profit and corporate boards of directors, some of which have their pension assets managed by Ironclad. As part of his new job duties, Harrison will

oversee Ironclad's research analysts and portfolio managers, including Michelle Myers, who passed the Level II CFA examination last year and is registered for the next exam. Myers is a portfolio manager who regularly meets with clients and prospects. Myers is also a partner in a software company that sells retirement and benefit administration services to institutional clients, some of which are also clients of Ironclad to whom Myers has recommended the software company. Myers has disclosed her partnership interest in the software company to Ironclad, including the potential for additional compensation and the possible conflicts of interest, but not to her clients.

One of Myers' software clients, Breakthrough Pharmaceuticals (Breakthrough), is a publicly traded corporation that is also held in many of Ironclad's client portfolios. In the course of their business relationship, Breakthrough's CEO informs Myers that the company has been having difficulty making retirement benefit payments, and its pension plan has recently gone from "overfunded" to "significantly underfunded" as a result of market conditions.

Breakthrough's CEO indicates to Myers that he is attempting to source additional short-term financing to make retiree benefit payments and will disclose the significant "underfunded status" of the pension plan in the upcoming financial statements. Myers, concerned that Breakthrough's current pension troubles and short-term liquidity issues will negatively affect its earnings and consequently the performance of the company's stock, informs Harrison of the impending disclosure. Harrison allows Myers to sell 1,800,000 shares of Breakthrough stock for clients, causing the price to drop by 5%. When the pension troubles are later disclosed in the company's financial statements, Breakthrough's stock price drops an additional 18%.

Harrison, as CIO, is chairman of Ironclad's proxy voting committee. Myers is also a member of the committee. Ironclad, as a discretionary investment manager, votes proxies through the proxy voting committee on behalf of clients. Ironclad is currently reviewing proxies for several companies covered in research, including technology companies Advanced DSL (Advanced), InterConnect Inc. (InterConnect), Speedy Chip Technology (Speedy Chip), and Wavelength Digital (Wavelength). Each company's current proxy contains voting proposals pertaining to employee stock option expensing methods. This issue is particularly important to Ironclad because several of its investment personnel recently participated in an industry forum that supported increased disclosure for company stock options. The panel concluded that such disclosure will provide investors with a more complete estimate of corporate earnings. Ironclad, through its clients, owns approximately 4% of the outstanding shares of Advanced and InterConnect and approximately 6% of the outstanding shares of Speedy Chip and Wavelength.

Harrison serves on the board of directors for InterConnect and Wavelength, while Myers provides consulting services for Speedy Chip. Harrison receives cash compensation and stock options for his services, while Myers receives restricted stock and stock options. The

investment bank that led the public offering of InterConnect and Speedy Chip and seven of nine sell-side analysts covering the companies have "sell" ratings on the stocks. Ironclad's analysts have also issued "sell" recommendations on the companies due to, among other issues, lack of earnings transparency and low earnings quality. Contrary to committee consensus, Harrison and Myers vote client proxies "against" the expensing of employee stock options for InterConnect, Wavelength, and Speedy Chip. Harrison increases his clients' positions in both InterConnect and Wavelength, citing "growth opportunities" and "consensus opinion." Neither Harrison nor Myers has disclosed these compensation arrangements to Ironclad.

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Question ID: 1586691

Is it *likely* that Myers violated any CFA Institute Standards of Professional Conduct with respect to her disclosure of the partnership interest in the software company or did Harrison violate any standards with respect to the sale of Breakthrough stock?

Partnership interest

Breakthrough sale

- | | |
|---------------|-----|
| A) No | Yes |
| B) Yes | Yes |
| C) Yes | No |
-

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Question ID: 1586692

Is it *likely* that Myers violated any CFA Institute Standards of Professional Conduct by selling the Breakthrough stock for her clients' accounts?

- A)** Yes, because the information shared by Breakthrough's CEO was nonpublic.
 - B)** No, because Myers is not considered an insider with respect to the information.
 - C)** No, because Myers has a fiduciary duty to her clients.
-

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Question ID: 1586693

With respect to Harrison's directorships with InterConnect and Wavelength and Myers' consulting arrangement with Speedy Chip, is it likely that any CFA Institute Standards of Professional Conduct have been violated?

<u>Harrison's</u> <u>directorships</u>	<u>Myers'</u> <u>consulting</u> <u>arrangements</u>
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- | | |
|---------------|-----|
| A) Yes | Yes |
| B) Yes | No |
| C) No | No |

Question #28 - 28 of 42

Question ID: 1586694

Which of the following *least* accurately describes Harrison's actions necessary for compliance with the Code and Standards regarding proxy voting? Harrison should:

- A)** discard all proxies on behalf of Ironclad's clients when there is a conflict of interest.
- B)** abstain from voting on matters affecting Internet and Wavelength to avoid conflicts of interest.
- C)** disclose all proxy voting policies to Ironclad's clients including the treatment of routine and nonroutine issues.

Question #29 of 42

Question ID: 1586679

Jim Taylor works as a portfolio manager for Rose Capital and also serves as president of the Little League board of directors in his town. He receives no money from Little League, however the local golf club provides him with a free membership for volunteering his time on the Little League board. Taylor's involvement with Little League is in his company biography, but the club membership has not been disclosed to Rose or his clients. Taylor has:

- A)** not violated the Standards.

- violated the Standards by not disclosing the club membership to Rose, but not by

B) failing to disclose it to clients.
 - violated the Standards by not disclosing the club membership to Rose and failing to

C) disclose it to clients.
-

Question #30 of 42

Question ID: 1586701

Will Lambert, CFA, is a financial analyst for Offshore Investments. He is preparing a purchase recommendation on Burch Corporation. According to the Standards of Professional Conduct, which of the following relationships with Burch is Lambert *least likely* required to disclose?

- A)** His wife owns 2,000 shares of Burch.
 - B)** His son-in-law was formerly employed by Burch.
 - C)** He has a material beneficial ownership of Burch through a family trust.
-

Question #31 of 42

Question ID: 1586714

Toni Florence, CFA, CAIA, leases office space to her best friend, Tom Rigs. Florence is an independent investment advisor specializing in high net worth clients and Rigs is a licensed real estate broker. In lieu of paying rent, Rigs refers his real estate clients to Florence, but only with the clients' permission.

For clients referred by Rigs, Florence:

- A)** need not disclose the referral fee if Rigs discloses the lease arrangement to the clients first.
 - B)** need not disclose the terms of the lease arrangement because Rigs obtained the clients' permission for the referral.
 - C)** must disclose the terms of the lease arrangement.
-

Question #32 of 42

Question ID: 1586707

An analyst routinely has the opportunity to offer his clients the opportunity to purchase "hot new issues." He tells his clients that he will distribute each issue equally among those interested, with himself included in the distribution. The clients do not object to this. With respect to Standard VI(B), Priority of Transactions, this:

- A)** may be a violation because it is impossible to distribute hot new issues equally.
- B)** may be a violation despite the clients' approval.
- C)** cannot be a violation because the clients know of the practice and agree.

Greg Hartsburg, a CFA charterholder, is a leading health-care industry analyst for Reynolds and Co., a New York-based brokerage firm. He has ten years of industry experience and has appeared on the *Wall Street Journal's* roster of all-star analysts for four straight years.

Hartsburg initiates coverage on Northern Lights Medical Equipment, a Minnesota-based company that designs medical equipment. Hartsburg owns shares of Northern Lights in his personal trading account, a stake of which his company is aware.

Maria Voltaire, a junior analyst working under Hartsburg, has asked the senior analyst to help her prepare for the 2009 Level III CFA exam. He makes himself available to answer her questions on specific topics during the course of her study and gives her two days off, with pay, to study during the week before the exam. He also discusses with her in detail his recollection of the topical areas covered on the 2007 Level III exam, which he took and passed.

One of Reynolds' traders tells Hartsburg that he believes Voltaire is trading in her own account based on information she gathers from research reports written by analysts in the office before the reports are publicly released.

Hartsburg is planning to leave Reynolds at the end of the month to take a position as a portfolio manager at Lone Pine Investments. He has disclosed to Reynolds, in the form of an e-mail message to his supervisor, his intention to take with him to his new position a fundamental factor model that he developed before coming to Reynolds and further refined during his time at Reynolds.

He also discloses plans to take with him three sample client investment policy statements (with the client names eliminated) to use as templates in the development of policy statements for his new clients at Lone Pine. In the e-mail to his supervisor, Hartsburg promises he will not solicit the business of these three clients.

In order to conform to the Code and Standards with relation to Northern Lights stock, Hartsburg *MUST*:

- A)** ask the company to assign another analyst to cover the stock in an effort to avoid the conflict of interest.
 - B)** directly disclose his holdings or have his company issue a generic disclaimer about analyst stock ownership.
 - C)** sell the shares before issuing the report.
-

Question #34 - 36 of 42

Question ID: 1586682

Hartsburg's efforts to help Voltaire pass the CFA exam:

- A)** conform to all relevant standards.
 - B)** violate both Standard I(D): Misconduct and Standard VII(A): Conduct as Members and Candidates in the CFA Program.
 - C)** conform to Standard I(D): Misconduct, but violate Standard VII(A): Conduct as Members and Candidates in the CFA Program.
-

Question #35 - 36 of 42

Question ID: 1586683

With respect to the allegation that Voltaire is front-running research recommendations, Hartsburg's first priority, under CFA Institute Standard IV(C) concerning supervisory responsibilities, should be to:

- A)** promptly initiate an investigation.
 - B)** freeze Voltaire's trading account and begin documenting her conduct as a precursor to possible termination.
 - C)** report the situation to his supervisor.
-

Question #36 - 36 of 42

Question ID: 1586684

Which statement about Hartsburg's actions prior to his leaving Reynolds is *most* accurate?

His actions regarding the factor model:

- A)** do not conform to Standard IV(A): Loyalty to Employer, but his actions regarding the investment-policy statements do.
 - B)** conform to Standard IV(A): Loyalty to Employer, as do his actions regarding the investment-policy statements.
 - C)** do not conform to Standard IV(A): Loyalty to Employer, nor do his actions regarding the investment-policy statements.
-

Question #37 of 42

Question ID: 1586698

Dwight Dawson, a CFA charterholder and portfolio manager at Ascott Investments, was recently appointed to the investments committee at Brightwood College. He will receive no compensation from Brightwood for serving on this committee. Another person at Ascott manages part of Brightwood's endowment. Dawson does not inform Ascott's compliance office of his involvement with Brightwood, because he does not believe doing so is necessary.

Brenda Hamilton, a CFA candidate, also works for Ascott as an investment analyst. Procedures established at Ascott prohibit personal trading in securities analyzed or recommended by Ascott. One of these securities is Horizon, a telecommunications firm. Hamilton buys 10 shares of Horizon for her infant son's trust account. She believes that reporting this purchase to Ascott's compliance officer is unnecessary because the amount of the transaction is small and is not for her own personal account.

Did Dawson or Hamilton's actions violate CFA Institute Standards of Professional Conduct?

- A)** Dawson: Yes, Hamilton: Yes.
 - B)** Dawson: No, Hamilton: No.
 - C)** Dawson: No, Hamilton: Yes.
-

Question #38 of 42

Question ID: 1586717

An analyst who is a member of CFA Institute has composed an introductory information packet for her new clients, which includes information on fees she receives for referring clients to other professionals and those she pays for having clients referred to her. With respect to Standard VI(C), Referral Fees, this action:

- A)** exceeds the requirement of the Standard because she does not need to reveal the fees she pays to those that refer clients to her.
 - B)** may not satisfy the Standard if such information is only provided after the receivers of the information have become clients.
 - C)** is not addressed in the Standard.
-

Question #39 of 42

Question ID: 1586700

Harry Lee, CFA, is an equity research analyst for a long-term investment fund. His annual bonus is linked to the fund's three-year average gains. Under a new policy, the bonus criterion is changed to include a link to the fund's quarterly trading profits. According to the Code and Standards, best practices dictate:

- A)** requiring Hurst to obtain permission from each client prior to implementation of the new policy.
 - B)** updating disclosures when the policy change is implemented.
 - C)** treating the policy change as proprietary information.
-

Question #40 of 42

Question ID: 1586716

If a CFA charterholder receives a referral fee, he must:

- A)** disclose the nature of the fee arrangement to the client before entering into a formal agreement.
 - B)** disclose the fee to the supervisor, in written form, as an additional benefit.
 - C)** consult with the firm's compliance officer, and follow his or her instructions concerning disclosure.
-

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Question ID: 1586713

Standard VI(C), Referral Fees, requires the member to do all of the following EXCEPT:

- A)** make required disclosures to the referred client before an agreement is made to provide services to the referred client.
 - B)** disclose to the referred client the percentage of the member's business that comes from referrals.
 - C)** disclose to the referred client how much the referral source was paid to refer the client.
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Rochester Frankfurt is a market maker in the stock of Byrne Brands, Inc. The chairman of Rochester Frankfurt serves on the board of directors of Byrne Brands. If an analyst at Rochester Frankfurt who is a CFA charterholder makes an investment recommendation on Byrne Brands, which of these two facts is the analyst required to disclose?

- A)** Both of these facts.
- B)** Neither of these facts.
- C)** Only one of these facts.